

The value of the last arrangement would seem to depend a good deal on whether the preferred stock is larger or smaller than the common issue. If larger, the share-for-share voting right could give the issue effective control; but in most cases the preferred issue is smaller, and hence this voting right is likely to prove ineffective.

Composite Rights. West Penn Power 4 $\frac{1}{2}$ % Preferred and Wisconsin Gas and Electric 4 $\frac{1}{2}$ % Preferred, both issued in 1939, have the following voting rights: (1) a vote share for share with the common, unless: (2) a year's dividend is in default, in which case the preferred stockholders have the right to elect two additional directors; (3) if three years' dividends are in default, they have the right to elect a majority of the board. North American Company 6% Preferred Stock can always elect one-quarter of the board. If three years' dividends are in arrears, it can elect a majority of the directors.

Noncumulative Issues Need Greater Protection. The practices outlined above merit certain other criticisms of a more general nature. In the first place, although it is taken for granted that these special voting provisions should apply to cumulative preferred stocks only, the exclusion of non-cumulative issues seem to us to be most illogical. Their holders have certainly a greater reason to demand representation in the event of nonpayment, because they have no right to recover the lost dividends in the future. In our view it should be established as a financial principle that *any* preferred stock that is not paying its full dividend currently should have some separate representation on the board of directors.

On the other hand we do not consider it proper to deprive the common stock of all representation when preferred dividends are unpaid. Complete domination of the board by the preferred stockholders may lead to some practices distinctly unfair to the common stock, *e.g.*, perpetuation of preferred-stock control by unnecessarily refraining from paying up back dividends in full. An alert minority on the board of directors, even though powerless in the actual voting, may be able to accomplish a great deal in preventing unfair or unsound practices.

A General Canon Regarding Voting Power. From the foregoing discussion, a general canon with respect to voting power may readily be formulated. The standard arrangement should give every preferred and every common issue the separate right to *elect some directors under all circum-*